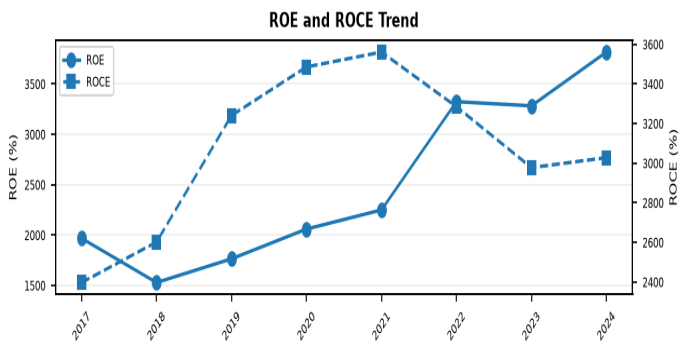
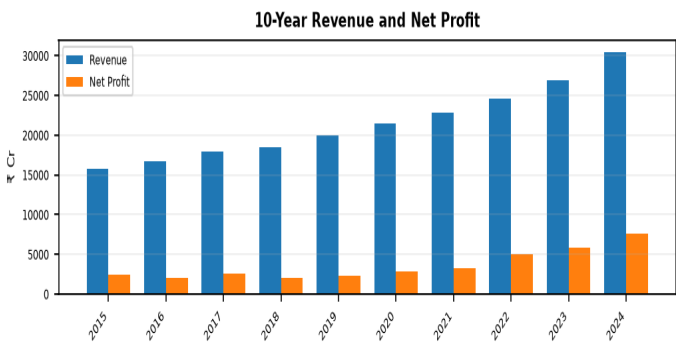


# Hindustan Aeronautics Ltd

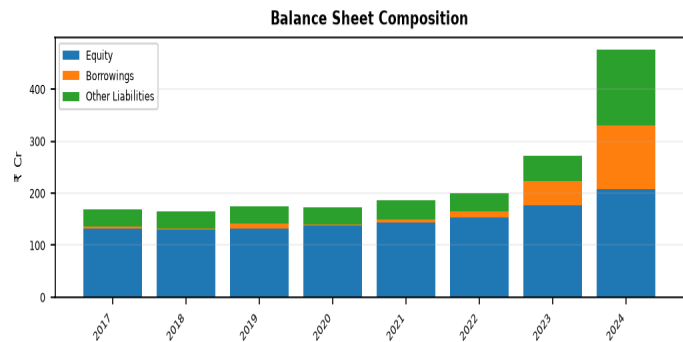
Nifty 100 Company Tearsheet | HAL

Industrials | Hindustan Aeronautics is engaged in the business of Manufacture of Aircraft and Helicopters and Repair, Maintenance of Aircraft and Helicopters

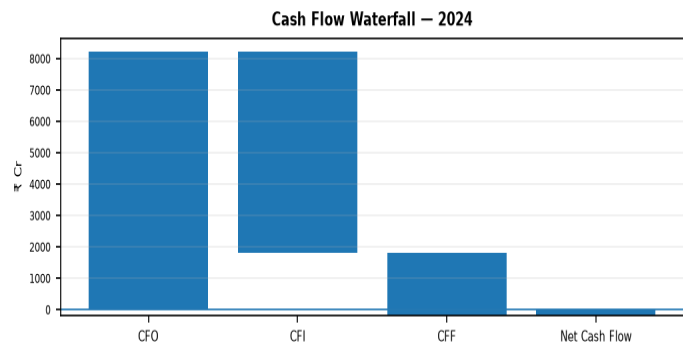
|                 |             |                |
|-----------------|-------------|----------------|
| ROE             | ROCE        | Debt / Equity  |
| 3816.6%         | 3027.6%     | 0.62           |
| Revenue CAGR 5Y | PAT CAGR 5Y | Free Cash Flow |
| 8.7%            | 26.5%       | ■1,814 Cr      |



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

CAPITAL ALLOCATION: Reinvestor